NO. CV-24-101

BEFORE THE ARKANSAS COURT OF APPEALS

CLYDE HATCHETT, SR. and VIOLENTEE HATCHETT

APPELLANTS

v.

HATCHETT BULLOCK CEMETERY ASSOCIATION, INC.

APPELLEES

On Appeal From The Pulaski County Circuit Court

Honorable Morgan E. Welch, Jr., Presiding Judge

APPELLANTS' BRIEF

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TABLE OF CONTENTS

Points on Appeal 3
Table of Authorities 4
Jurisdictional Statement 5
Statement of the Case and Facts 5
Argument 10
Request for Relief 14
Certificate of Service 16
Certificate of Compliance 16

POINTS ON APPEAL

I. The trial court erred in granting injunctive relief to a corporation concerning property that is owned by an individual or an unincorporated nonprofit association.

TABLE OF AUTHORITIES

Cases

Apprentice Information Sys., Inc. v. DataScout, LLC, 2018 Ark. 145, 544 S.W.3d 39 (2018) 10
Arnold v. Camden News Pub. Co., 353 Ark. 522, 110 S.W.3d 268 (2003) 13
Carter v. Green, 67 Ark. App. 367, 1 S.W.3d 449 (1999) 11
City of Dover v. City of Russellville, 363 Ark. 458, 215 S.W.3d 623 (2005) 13
Fewell v. Pickens, 344 Ark. 368, 39 S.W.3d 447 (2001) 5
Foster v. Wasson, 2016 Ark. App. 104, 483 S.W.3d 301 (2016) 13
Town of Gravette v. Veach, 186 Ark. 544, 54 S.W.2d 704 (1932) 11
Weaver v. First Nat'l Bank of Memphis, 216 Ark. 199, 224 S.W.2d 813 (1949) . 11

Statutes

Ark. Code Ann. § 4-28-631 12

JURISDICTIONAL STATEMENT

This is an appeal from a final judgment entered by the Circuit Court of Pulaski County, Arkansas, on October 18, 2023, in Case No. 60CV-23-6987. (RP 29-31). Defendants' notice of appeal was timely filed on November 16, 2023. (RP 49-50). Because the plaintiff received permanent injunctive relief and abandoned its claim for damages, the trial court's order granting such relief on October 18, 2023, (RP 29-31), was a final order concerning an injunction. It was not an "interlocutory order" within the meaning of Rule 2(a)(6) of the Arkansas Rules of Appellate Procedure – Civil; accordingly, appellants had 90 days from filing of the first notice of appeal in which to docket the record with this Court. See *Fewell v. Pickens*, 344 Ark. 368, 373-374, 39 S.W.3d 447, 451 (2001) (holding that the 30-day period for filing the record on appeal from an order granting interlocutory injunctive relief, see Ark, R, App. P. 5(a), did not apply where a permanent injunction was entered). The record was timely docketed on February 13, 2024.

There is no ground under Arkansas Supreme Court Rule 1-2 for resolution of this appeal in the Arkansas Supreme Court.

STATEMENT OF THE CASE AND FACTS

Hatchett Bullock Burial Association, Inc. ("the Association") filed the complaint in this case seeking a temporary restraining order, preliminary injunction, and permanent injunction against appellants Clyde Hatchett, Sr. and

Violentee Hatchett ("the Hatchetts"), who are husband and wife. (RP 3-21). The Association also asked the circuit court to set aside a quitclaim deed to cemetery property, by which the Hatchetts purported to convey the land to themselves. The complaint requested treble damages for the cloud the Hatchetts had placed on the Association's title to the property. The complaint was verified by April Harris, who purported in the affidavit to be the president of the Association.

Attached as an exhibit to the complaint was a file-marked copy of a document, apparently signed by a county judge and dated February 3, 1966, purporting to grant "Hatchett-Bullock Families" authority to establish or extend a cemetery. (RP 15). Also attached to the complaint was a Petition for Private Cemetery, signed by ten individuals, and Instructions for the Operation of Hatchett-Bullock Cemetery. (RP 16-18). The final exhibit to the complaint was a copy of a quitclaim deed from the Hatchetts to themselves.) (RP 19-20). The deed listed the consideration for the purported transfer as "Zero."

The circuit court entered an "Emergency Temporary Restraining Order" on September 19, 2023, and gave notice of a hearing set for September 27, 2023. (RP 22-24). At the hearing, the Association introduced the Petition for Private Cemetery (RT 143), the Permit to Establish Cemetery (RP 144), and a document dated August 3, 2009, and labeled Instructions for Operation of Hatchett-Bullock Cemetery (RT 145-146) into evidence.

The Association also introduced a copy of the 2023 Annual Report of Nonprofit Corporation that had been filed with the Secretary of State on May 31, 2023. (RT 147). This document identified April Harris as president of the Association. The Association also introduced photographs, a video, and Incident Reports from the North Little Rock, Arkansas Police Department, purportedly reflecting Clyde Hatchett entering cemetery property or the effects of such entry.[1]

Harris testified that the Association was a non-profit association and that she had become its president in 2021. (RT 13). She said the original purpose of the Association was to prevent Clyde Hatchett from doing "unauthorized burials." (RT 13). She pointed out that the petition for private cemetery had represented that "burials would be limited to members of the family group, and shall be operated as a family cemetery, not employing salesmen, paying commissions or make a profit." (RT 16). She denied that Clyde Hatchett was ever an officer or president of the Association. (RT 24),

Examining the quitclaim deed executed by the Hatchetts, Harris testified that the Hatchetts did not have authority to execute the deed and had never requested permission to do so. (RT 27). Harris testified that a cousin of the family and a grandchild had been buried in the cemetery without notice to the Association. (RT 32-33).

[1] Strangely, one of the Incident Reports referenced Clyde Hatchett, Jr., who was deceased years before the report was made in 2022. (RT 164-165).

On cross-examination, Harris testified that the Association was established in 2009. (RT 53). She testified that the Association had a warranty deed to the property from its original owner, "Doc Hatchett," but she admitted he was deceased in 2009. (RT 54). Eventually she testified that she had a warranty deed granting the property to the Association, but she did not have it in court. (RT 55). On further examination, she admitted that, to her knowledge, there was no deed to Hatchett-Bullock Cemetery Association, Inc. (RT 58).

Harris testified that the people who petitioned for a private cemetery were not part of the Association, and they were all deceased. (RT 61).

Clyde Hatchett testified that he had been elected president of the cemetery by the Hatchett family. (RT 68). He said that the Hatchett-Bullock cemetery was a family cemetery that was not incorporated. (RT 70). He said he put up a sign at the cemetery with his telephone number because he was president of board of the family cemetery. (RT 77). He also testified that he had never attempted to allow non-family members to be buried in the cemetery, or attempted to make a profit. (RT 88-89). Violentee Hatchett testified that her husband Clyde was elected president of the cemetery at a called meeting on September 26, 2021. (RT 100). A copy of notes from the meeting was introduced. (RT 172).

Neither party introduced the deed by which the family group originally gained possession of the cemetery property before petitioning for permission to

operate a private cemetery. Nor was there evidence of a deed from that unincorporated association or an individual to the plaintiff Association, a corporate entity that brought the action.

In closing argument, counsel for the Hatchetts pointed out that there was no proof of irreparable harm to the plaintiff, since there was no evidence that the Association had legal title to the property at issue. (RT 132-133). Judge Welch responded that the evidence had shown that the Association had been administering the property since 2009 and had exercised dominion and control over it since that time. (RT 134-135). He observed that the Hatchetts were aware of these facts, and had gone so far as to establish a "competing organization" to run the cemetery, as well as deeding the property to themselves.

Counsel for the Hatchetts reiterated that they had contested the corporate Association's actions in running the cemetery, in the absence of any evidence that the corporation—as opposed to a loosely defined group of family members—had authority to operate the cemetery. (RT 137)

Following that hearing, the court entered an order advancing the trial on the merits and combining it with the hearing on the preliminary injunction. (RP 29-31). The order granted the Association permanent injunctive relief and set aside the Hatchetts' quitclaim deed to themselves.

ARGUMENT

I. The trial court erred in granting injunctive relief to a corporation concerning property that is owned by an individual or an unincorporated nonprofit association

A. Standard of Review

Arkansas appellate courts review decisions on injunctive relief de novo. *Apprentice Information Sys., Inc. v. DataScout, LLC*, 2018 Ark. 145 at *4, 544 S.W.3d 39, 42 (2018). An appeals court will reverse a decision on injunctive relief if the trial court has abused its discretion. *Id.* Nevertheless, this Court reviews the factual findings that result in the issuance of an injunction under the clearly erroneous standard. *Id.*

B. Ownership of the Property at Issue

The Association did nothing to establish the ownership of the cemetery property before invoking the aid of the trial court to control it. So far as the record reflects, the property was owned by one or more of the group of individuals who petitioned the Pulaski County Judge for leave to operate a private cemetery. (RT 143). The permit to establish the cemetery was dated February 3, 1966. (RT 144). The permit approved the application of the "Hatchett-Bullock Families."

There was no indication that the individuals who received permission to establish the cemetery were anything more than an unincorporated association under Arkansas law. Citing a leading treatise of the day, the Arkansas Supreme Court in 1949 approved the definition of an association as "'a body of persons

acting together, without a charter, but upon the methods and forms used by corporations, for the prosecution of some common enterprise.'" *Weaver v. First Nat'l Bank of Memphis*, 216 Ark. 199, 208, 224 S.W.2d 813, 817 (1949) (quoting 7 C.J.S., Associations, § 1).

C. Lack of Proof of Ownership by Plaintiff

Harris, who held herself out to be the president of plaintiff Hatchett-Bullock Cemetery Association, Inc., testified that the corporation was formed in 2009. (RT 53). She implied, and the trial court seemed to accept, that the corporation was merely the formalized continuation of the group that petitioned to operate the cemetery, and entitled to its ownership rights and privileges. But that assumption is not supported by Arkansas law.

Instead, when an unincorporated association votes to transform itself into a corporation, the property of the former is transferred to the latter—if at all—only when, by charter, "all the members of the voluntary association [become] members of the incorporated society."

Town of Gravette v. Veach, 186 Ark. 544, 54 S.W.2d 704 (1932) overruled in part on other grounds, *Lael v. Crook*, 192 Ark 1115, 97 S.W.2d 436, 439 (1936), superseded by statute as noted in *Carter v. Green*, 67 Ark. App. 367, 370 & n.1, 1 S.W.3d 449 (1999).[2]

[2]Veach was overruled to the extent that it held that an unincorporated association could hold title to property. *Lael*, 192 Ark. 1115. As *Carter* noted, Act 858 of 1997 (Uniform Unincorporated Nonprofit Association Act) allowed nonprofit

Here, there was no evidence that the charter of the Association specifically made all the members of the unincorporated association members, or that the Hatchetts even knew of a corporation in 2009. Clyde Hatchett testified that the unincorporated association was not for profit (RT 88-89), and the petition for permission to operate the cemetery declared that the group would not employ salesmen, pay commissions or make a profit. (RT 153).

D. Suggestion of Adverse Possession

When counsel for the Hatchetts pointed out in closing argument that the plaintiff had not shown any deed or other entitlement to the property (RT 133), the trial court seemed to think it was significant that the plaintiff corporate association claimed to have administered the property since 2009. (RT 134). The court, however, overlooked the fact that Clyde Hatchett had been provided a key to the property before 2009, and kept it until a new lock was installed in 2021 or 2022. (RT 40-41).

In any event, adverse possession principles do not apply to the facts of this case. Adverse possession is an affirmative defense that must be pled and requires proof that an adverse claimant had possession of real property that was (1) actual; (2) visible and notorious; (3) distinct and exclusive; (4) of a hostile character; (5) accompanied by an intent to hold adversely against the true owner; and (6) for a

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associations to hold interests in real property in their own names. See also Ark. Code Ann. § 4-28-631 (Revised Uniform Unincorporated Nonprofit Association Act).

period of seven years continuous duration. *Foster v. Wasson*, 2016 Ark. App. 104 at *9, 483 S.W.3d 301, 307 (2016). There was no proof in the record that the Association's claimed control was distinct, exclusive, visible or notorious. The trial court should not have ruled against the Hatchetts based on the Association's alleged administration of property to which the Hatchetts had access.

E. Abuse of Discretion in Granting Injunctive Relief

This Court must set aside the permanent injunction if the lower court abused its discretion in granting such relief. Abuse of discretion means a discretion improvidently exercised, as in without due consideration. See, e.g., *Arnold v. Camden News Pub. Co.*, 353 Ark. 522, 526, 110 S.W.3d 268, 270 (2003).

Turning to the requisites for a permanent injunction, the Association was required to prove that (1) it was threatened with irreparable harm; (2) the threatened harm outweighed any injury that an injunction would inflict on other parties; (3) it was likely to prevail on the merits; and (4) the public interest favored an injunction. *City of Dover v. City of Russellville*, 363 Ark. 458, 460-461, 215 S.W.3d 623, 625 (2005).

The glaring shortfall in the Association's proof was the lack of evidence that it had any legal right at all to the cemetery property. Without a legally cognizable right to the property, the Association suffered no harm—much less any irreparable harm—by the continued access to the cemetery by one of Doc Hatchett's grandsons.

It seems most likely that the land was owned by one of the family members who petitioned the county judge for permission to operate the cemetery, since Arkansas law did not permit ownership by an unincorporated association at that time. What is certain, however, is that the land does not belong to a corporation that did not exist in 1966. And, as shown above, merely incorporating an association does not automatically transfer any property interest it may have to the new entity. It is clear, then, that the trial court did not give due consideration to the disconnect between the evidence before it and the requirements for a permanent injunction. Its decision should be reversed.

REQUEST FOR RELIEF

Appellants Clyde Hatchett, Sr. and Violentee Hatchett pray that the court reverse the judgment entered below, and dismiss the action filed by the Hatchett Bullock Cemetery Association, Inc.

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CERTIFICATE OF SERVICE

I certify that on March 29, 2024, I filed this brief using the Court's eFlex filing system, which will serve a copy on all counsel of record.

CERTIFICATE OF COMPLIANCE

I certify that this brief complies with Administrative Order No. 19, that it complies with Administrative Order No. 21, Section 9, and that it conforms to the word-count limitations in Rule 4-2(d) of this court's rules. The sections specified in Rule 4-2(d) as counting against the word-count limitation altogether contain 2,175 words.